PRIVATE PLANNING BRIEF

2026 Creative Tax Deferral & Minimization Playbook

A California-aware strategy screen for a high-W-2 household, with Mandy positioned to turn real participation into tax capacity.

The goal is not to buy deductions. It is to sequence economically sound investments, participation, and liquidity events so the tax rules recognize what the household actually does.

2026
YEAR-END
EDITION

Prepared for Jimmy and Mandy

Federal and California rules current through October 10, 2026

THE CENTRAL THESIS

The best moves change the tax character of real activity - not the story told about it

For a California household dominated by W-2 income, most marketed deductions fail at one of four gates: passive-loss status, basis and at-risk limits, excess-business-loss limits, or state nonconformity. The most promising ideas below are the ones that can clear those gates with real economics and contemporaneous evidence.

PRIORITY 1

Use Mandy's participation deliberately

A seven-day-or-less short-term rental (STR) can escape rental-activity treatment. Material participation can then make a supportable loss nonpassive without real-estate-professional (REP) status.

PRIORITY 2

Build the 2027 REP platform now

Ownership, operations, time logs, vendor control, and activity grouping should be designed before the long-term rental portfolio grows.

PRIORITY 3

Plan gains before they are locked in

Section 1031, installment sales, charitable gifts, Qualified Small Business Stock (QSBS), and Qualified Opportunity Funds (QOFs) are pre-transaction strategies.

A practical ranking for this household

STRATEGY	POTENTIAL	BEST FIT	PRIMARY CONSTRAINT
STR + material participation	High	2026 property placed in service with Mandy operating it	Day-count test, hours, economics, local rules
REP + grouped rentals	High	2027 onward, once long-term portfolio is operating	750 hours, more-than-half test, material participation
CA pass-through entity tax	High	Eligible partnership or S corporation income	Must have the right entity and taxable income
Cost segregation + bonus	Medium-high	Property with enough depreciable basis and usable loss	CA nonconformity, recapture, placed-in-service timing
Oil & gas working interest	Selective	Risk-tolerant capital seeking nonpassive treatment	Unlimited liability, concentration, sponsor quality
Gain-deferral structures	Event-driven	Known sale, concentrated stock, or real-estate exit	Must act before closing; deferral is not elimination

Guardrail: Every investment should meet the household's cash-flow and risk standards before counting tax benefits. A $1 deduction never repairs a poor asset, weak operator, or overleveraged purchase.

ORDER MATTERS

Sequence the plan before buying, selling, or donating

Start with the income event and the operating facts. Choose the tax wrapper only after the economics, control, and evidence are visible.

1. MAP

What income arrives?

W-2, equity compensation, capital gain, pass-through income, and rental operations do not respond to the same deductions.

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2. SCREEN

Which gate applies?

Passive activity, at-risk, basis, excess business loss, itemized deduction, and California conformity.

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3. EXECUTE

What must happen first?

Ownership, election, appraisal, qualified intermediary, placed-in-service date, or documented work.

Green-light conditions

- ☐ The investment has positive expected after-tax cash flow at realistic occupancy and financing.
- ☐ Mandy's work is operational, regular, and provable - not investor-level monitoring.
- ☐ There is sufficient basis and amount at risk to absorb the modeled loss.
- ☐ The loss remains usable after Form 461's excess-business-loss limitation.
- ☐ Federal and California depreciation are modeled separately through exit.
- ☐ Any gain-deferral or charitable step is complete before a binding sale.

Red-light conditions

- ☐ The pitch leads with a tax ratio and treats operating returns as secondary.
- ☐ A promoter promises W-2 offsets without asking about participation, liability, basis, or at-risk rules.
- ☐ Hours are reconstructed at year-end or rely mostly on commuting and investor research.
- ☐ The transaction uses circular financing, inflated appraisals, or nonrecourse debt to create basis.
- ☐ The strategy depends on a trust, annuity, or installment wrapper marketed as risk-free tax elimination.
- ☐ California treatment is assumed to match the federal return.

Planning assumption: This report assumes a married California household with significant W-2 income, Mandy available for substantial property operations, and a plan to use near-term STR operations before transitioning to long-term rentals and REP status. No income, gain, age, benefit-plan, or property-basis amounts were provided, so all sizing remains scenario-based.

What to collect before the first CPA modeling session

INCOME

Latest paystubs, 2025 return, 2026 equity events, K-1 projections, realized and unrealized gains.

PROPERTY

Purchase price allocation, financing terms, rental calendar, vendor scope, furnishing and improvement budget.

CAPACITY

Mandy's weekly calendar, other personal-service work, benefit elections, charitable intent, liquidity needs.

WHAT CHANGED

Higher limits create room, but the bottlenecks still decide what is usable

$24,500
401(k), 403(b), 457 employee deferral

$8,750
Family Health Savings Account (HSA) limit

$40,400
2026 state and local tax (SALT) cap before phase-down

100%
Federal bonus depreciation for eligible property

2026 RULE	PLANNING MEANING	CALIFORNIA / LIMITATION
Retirement plans $24,500 employee deferral; $8,000 age-50 catch-up; $11,250 catch-up at ages 60-63; IRA $7,500 plus $1,100 age-50 catch-up. [1]	Max payroll deferrals first. If Mandy earns genuine self-employment income, a separate plan may create additional employer-contribution capacity.	Employer-plan design, compensation, aggregation, and controlled-group rules matter.
HSA $4,400 self-only; $8,750 family; $1,000 age-55 catch-up. [2]	Federal triple-tax treatment remains compelling for an eligible high-deductible health plan household.	California does not conform to IRC Section 223; contributions and earnings need state adjustments. [3]
SALT cap $40,400 MFJ; phases down when modified adjusted gross income exceeds $505,000, but not below $10,000. [4]	The larger cap may restore part of the itemized deduction, but high income can rapidly shrink it.	Model charitable bunching and mortgage interest with the actual phase-down; do not assume $40,400 is available.
Bonus depreciation 100% for qualifying property acquired and placed in service after Jan. 19, 2025 under the 2025 federal law change.	Cost segregation can make more property eligible for immediate federal deduction.	California does not conform to federal bonus depreciation; maintain a separate state schedule. [5]
Excess business loss $256,000 single / $512,000 MFJ projected 2026 threshold; excess becomes a net operating loss carryforward. [6]	A loss can be nonpassive yet still be deferred by Form 461. Size strategy to usable capacity, not gross deduction.	Check current IRS forms at filing and state net-operating-loss rules separately.
Charitable deductions New 0.5% adjusted-gross-income floor for itemizers in 2026; highest-bracket benefit is limited; new non-itemizer cash deduction. [19]	Bunching and appreciated-property gifts matter more; small annual gifts may produce less itemized benefit.	Run 2026 projections before funding a donor-advised fund (DAF).

> **The durable planning question:** Is the deduction current, suspended, carried forward, or lost? Tax software totals alone do not answer that. Build a carryforward schedule for passive losses, NOLs, charitable deductions, capital losses, and state-federal basis differences.

HIGHEST-PRIORITY OPERATING STRATEGY

A seven-day-or-less STR can turn Mandy's work into current-loss capacity

The opportunity is a classification result. If the average period of customer use is seven days or less, the activity is not treated as a rental activity under the passive rules. If Mandy materially participates, the activity's loss may be nonpassive and available against W-2 income, subject to basis, at-risk, and Form 461 limits. [7]

THE LOGIC CHAIN

1. **Operate a real STR:** track each customer's actual days of use and compute the annual average.
2. **Clear a material-participation test:** the cleanest facts often involve more than 100 hours and no other individual participating more, or more than 500 hours.
3. **Create a supportable tax loss:** depreciation, interest, repairs, supplies, platform fees, utilities, and operating costs may exceed taxable rental income.
4. **Clear the remaining limits:** verify ownership basis, amount at risk, excess business loss, and any personal-use limitations.

FACTS THAT WEAKEN THE POSITION

- A property manager or cleaner performs more time than Mandy.
- Average customer use drifts above seven days.
- Owner or family use triggers vacation-home limitations.
- Logs are estimates created after the return is prepared.
- Work is mostly investor research, arranging financing, or commuting.
- The property was not ready and available for rent by year-end.

The operating file should be built as work happens

EVIDENCE	WHAT TO KEEP	CADENCE
Customer-use ledger	Check-in/check-out dates, canceled nights, owner-use days, annual average stay calculation	Per booking; monthly review
Time log	Date, start/stop, task, property, counterparty, outcome; receipts or messages attached where possible	Same day
Control evidence	Guest messages, pricing decisions, vendor scheduling, procurement, inspections, issue resolution	Continuous
Placed-in-service file	Listing live date, photographs, permit/license, first availability, utilities, insurance, furniture invoices	At launch

Important nuance: A later switch to long-term rental changes the passive-activity analysis. Preserve STR-year records separately and do not assume the same nonpassive result continues after the average stay or service model changes.

BUILD IN 2026 FOR 2027

Real-estate-professional status is a portfolio strategy, not a label

For long-term rentals, Mandy must satisfy two annual personal tests: more than 750 hours in real-property trades or businesses in which she materially participates, and more than half of all personal services for the year in those businesses. A joint return cannot combine spouses' hours to meet those two tests, although spouse participation can help determine material participation in an activity. [7]

What counts toward REP status

- Acquiring, converting, renting, leasing, operating, managing, developing, constructing, or brokering real property in a trade or business.
- Mandy's own services, with employee hours generally excluded unless she is more than a 5% owner of the employer.
- Hours tied to businesses in which she materially participates.

What remains separate

- REP status does not automatically make every rental nonpassive.
- Each rental must meet material participation unless a valid election treats qualifying rental real-estate interests as one activity.
- Grouping can help hours, but it can delay release of suspended losses until the entire grouped activity is disposed of.

Household design: Put Mandy in genuine operational control: leasing standards, vendors, turns, inspections, bookkeeping review, capital planning, tenant/guest escalation, and property-level decisions. Jimmy's W-2 schedule does not need to carry the REP hours.

A defensible 2027 operating system starts now

1. **Ownership and authority.** Confirm who owns each property and entity, who signs management agreements, and who has decision rights. Align tax structure with liability and lending advice.
2. **Activity map.** List each STR, long-term rental, development project, management entity, and brokerage activity. Decide which are trades or businesses and whether grouping is appropriate.
3. **Time evidence.** Use contemporaneous, property-coded logs. Calendar entries alone are weaker than entries corroborated by invoices, messages, task systems, and decisions.
4. **Quarterly test.** Compare year-to-date qualifying hours with 750 and with Mandy's total personal-service hours. Identify third parties whose time could exceed hers.
5. **Return elections.** Have the CPA review the grouping statement, late-election relief, and consistency with prior returns before filing.

Do not count: investor-type work, reviewing statements, studying reports, general market research, or travel/commuting that the passive-activity rules exclude. Ask the return preparer to mark which log categories are includible before the year starts.

ACCELERATE WITH BOTH LEDGERS OPEN

Cost segregation accelerates federal deductions, while California creates a second ledger

A cost-segregation study identifies building components that properly belong in shorter recovery classes rather than the 27.5- or 39-year building life. Eligible shorter-life property may qualify for 100% federal bonus depreciation, but California does not conform to federal bonus depreciation. [5][8]

FEDERAL UPSIDE

Front-load eligible basis

Furniture, appliances, certain floor coverings, specialty electrical, land improvements, and other properly classified components can move deductions forward.

STATE FRICTION

Track two bases

The federal deduction may be immediate while California depreciation continues over a longer period, producing annual Schedule CA adjustments and different exit gain.

EXIT COST

Model recapture

Accelerated depreciation lowers basis. Sale, use conversion, or component disposition can generate ordinary recapture or higher gain even when 1031 planning is expected.

Four levers beyond the headline study

LEVER	WHEN IT HELPS	EXECUTION POINT
Placed-in-service timing	Property is ready and available for its intended rental use before Dec. 31.	A purchase date alone is insufficient. Preserve permits, listing status, photos, utilities, and readiness.
Partial asset dispositions	A roof, HVAC, or other component is replaced and the remaining basis of the old component can be identified.	Coordinate engineering allocations with the repair capitalization rules and Form 3115 analysis.
Repair safe harbors	Routine maintenance, de minimis property, or small-building work falls within the tangible-property regulations.	Make annual elections and separate repairs from betterments, restorations, and adaptations. [9]
Look-back study	An older property was depreciated without a study and still has material shorter-life basis.	A method change may permit a catch-up adjustment without amending all prior returns; specialist review is essential.

Cost-seg decision rule: Compare the present value of federal tax deferral with study cost, state drag, recapture, expected holding period, passive/Form 461 usability, and the possibility of a 1031 exchange. Do not evaluate the gross first-year deduction in isolation.

USE THE ENTIRE ASSET FILE

Small structural choices determine whether accelerated deductions survive review

Cost segregation is only one layer. Asset-level eligibility, placed-in-service evidence, repair elections, debt tracing, and the operating entity determine whether the modeled deduction is current, deferred, or reversed.

SECTION 179

Not a blanket real-estate deduction

Section 179 can expense qualifying business property, subject to taxable-income and investment limits. The reported 2026 federal limit is $2.56 million, with phaseout beginning at $4.09 million. [20]

- Most building basis is not eligible.
- Rental, lodging, qualified improvement property, vehicle, and business-use rules require asset-level review.
- California limits can differ sharply from federal limits.

ADUS AND CONVERSIONS

Start with a use thesis

An accessory dwelling unit or conversion may improve rent and value, but construction is generally capitalized and residential structural basis is not immediately bonus-eligible.

- Separate land, building, shorter-life components, and financing costs.
- Model permitting time, incremental rent, utilities, insurance, and exit value before tax.
- Document when the unit is ready and available for rent.

Three files the return preparer should receive

FILE	CONTENTS	WHY IT MATTERS
Fixed-asset register	Invoice, date, vendor, business use, class life, federal and California basis, disposition date	Prevents duplicate deductions and preserves basis through replacement or sale.
Improvement ledger	Project scope, unit of property, betterment/restoration/adaptation analysis, removed components	Supports repair treatment, capitalization, and partial dispositions.
Debt tracing ledger	Draw date, destination account, exact expenditure, refinancing and repayment path	Interest follows use of proceeds rather than the collateral alone.

Genuine spouse-owned operating income may add retirement capacity

If Mandy earns bona fide net self-employment income from services outside passive rental income, a solo 401(k) or another qualified plan may create employee/employer contribution room. Compensation, payroll or self-employment tax, controlled-group rules, and related-party pricing must be modeled. A management fee between commonly owned entities does not manufacture household economics.

Election discipline: Annual repair and safe-harbor elections, depreciation methods, bonus opt-outs, and retirement-plan elections can carry different due dates. Put each election and responsible preparer on a closing checklist rather than relying on year-end journal entries.

TWO NARROW BUT MEANINGFUL TOOLS

PTE tax and oil-and-gas working interests can work - only in the right structure

CALIFORNIA PTE ELECTION

Convert owner state tax into an entity deduction

An eligible partnership or S corporation can elect California's 9.3% pass-through entity (PTE) tax. The entity deducts the tax federally, while eligible owners claim a California credit. The regime has been extended through 2030. [10]

2026 OPERATING RULES

- June 15 prepayment generally equals the greater of $1,000 or 50% of the prior-year elective tax.
- A short prepayment no longer automatically kills the election, but the owner's credit is reduced by 12.5% of the shortfall.
- The entity must have qualifying owners and sufficient California taxable income.

BEST FIT

Existing profitable K-1 income from an eligible entity. It is not a reason to move W-2 wages or passive rentals into a new entity without business purpose.

OIL AND GAS WORKING INTEREST

Nonpassive by statute, economically high-risk

A working interest held directly or through an entity that does not limit liability is not passive even without material participation. That can allow current losses against W-2 income, subject to basis, at-risk, and excess-business-loss rules. [7]

POTENTIAL DEDUCTIONS

- Intangible drilling costs may be currently deductible or capitalized, depending on elections and facts.
- Independent producers and royalty owners may qualify for percentage depletion; limitations are complex. [11]
- Operating costs and depreciation may add deductions after production begins.

THE PRICE OF THE TAX RESULT

The nonpassive exception is tied to direct or unlimited liability. A limited-liability fund interest may not qualify. Dry-hole risk, commodity volatility, environmental exposure, sponsor fees, reserve estimates, and illiquidity can dominate the tax value.

Shared constraint: The tax result depends on legal form. PTE treatment requires an eligible entity and owners; the oil-and-gas nonpassive exception is tied to a direct or unlimited-liability working interest. Ask counsel to diagram the structure before funds move.

TREAT THE DEDUCTION AS ONE CASH FLOW

A working-interest tax benefit cannot compensate for weak reserves or hidden liability

The nonpassive classification is unusual and potentially valuable, but it sits inside an operating investment with geological, commodity, environmental, legal, and sponsor risk. Underwrite the asset before valuing the deduction.

Diligence questions that should be answered in writing

AREA	QUESTION	EVIDENCE
Legal form	Exactly what interest is purchased, and does any entity, side letter, insurance, or indemnity limit liability?	Subscription agreement, entity documents, tax opinion, insurance policies
Use of funds	What percentage is leasehold, drilling, completion, equipment, sponsor fees, and working capital?	AFE, invoices, escrow and disbursement controls
Reserves	What production curve, price deck, decline rate, success probability, and operating cost support returns?	Independent reserve report and sensitivity cases
Operator	What is the operator's realized record on wells, budget, safety, plugging, and distributions?	Audited history, regulatory record, references, litigation search
Tax capacity	How much basis and amount at risk exist, and how do AMT, depletion, recapture, and Form 461 affect use?	Tax model with federal and California schedules
Exit	Who can buy the interest, what consents apply, and who bears future plugging or remediation?	Transfer provisions, abandonment estimate, buyer universe

BASE CASE

Value taxes as timing

Model current deduction, later taxable production, depletion, recapture, and exit. Discount the tax benefit and cap it at what is actually usable in 2026.

STRESS CASE

Assume no production

Measure loss of capital, legal exposure, cash calls, and tax usability if the well is dry or delayed. A deduction does not return principal.

Promoter warning: Reject an offering that markets a deduction multiple without a full use-of-proceeds schedule, engineering support, conflicts disclosure, liability analysis, and after-tax internal rate of return under low-price and dry-hole cases.

DESIGN BEFORE THE CLOSING

Deferral works when control, proceeds, and deadlines are designed in advance

TOOL	WHAT IT DOES	CRITICAL MECHANICS	HIDDEN COST
Section 1031 exchange	Defers gain on qualifying business or investment real property by carrying basis into replacement real property.	Use a qualified intermediary before closing; do not take actual or constructive receipt. Identify replacement property within 45 days and complete within 180 days, subject to return due-date rules. [12]	Boot is taxable; rushed replacement, fees, leverage, and low-basis carryover can reduce future flexibility.
Delaware statutory trust (DST)	May provide a fractional replacement-property route when a properly structured interest qualifies for 1031 treatment.	Review sponsor, tax opinion, debt matching, offering constraints, and whether the specific interest is eligible.	Illiquidity, sponsor control, layered fees, refinancing limits, and no guarantee of a clean exit.
Installment sale	Recognizes eligible gain as principal payments are received; interest is taxed separately.	Seller must actually take buyer credit risk. Use Form 6252; related-party, depreciation-recapture, marketable-securities, and dealer rules can accelerate tax. [13]	Default risk, ordinary interest income, imputed-interest rules, and tax-rate uncertainty.
Qualified Opportunity Fund	Defers eligible gain invested for an equity interest within 180 days and may exclude post-investment QOF appreciation after a 10-year hold.	Legacy deferred gain is included by Dec. 31, 2026 at the latest; annual Form 8997 reporting applies. [14]	The remaining original-gain deferral is now short; long hold, fund risk, fees, and recapture can outweigh it.

> **2026 Opportunity Zone reality:** A QOF entered late in 2026 does not defer the original gain for a decade. The deferred original gain is recognized no later than December 31, 2026. The enduring benefit is potential exclusion of QOF appreciation after the required hold, not a long deferral of the seed gain. [14]

Installment sales: legitimate structure, aggressive variants

A plain seller-financed sale can match tax with cash receipts. By contrast, the IRS identifies monetized installment sale arrangements as listed transactions. Those arrangements typically attempt to give the seller near-immediate liquidity while claiming long deferral. Avoid any structure that promises both cash now and no recognition without independent tax counsel and complete disclosure analysis.

1031: the value is optionality, not permanent exemption

A successful exchange postpones recognition and preserves capital for the next asset. The replacement property takes a carryover basis, so the deferred gain remains embedded. A future taxable sale, refinancing, conversion to personal use, partnership restructuring, or failed exchange can surface the gain. Model a taxable-sale alternative rather than treating 1031 as automatic.

BEFORE SIGNING A SALE CONTRACT

Choose the qualified intermediary, identify replacement strategy, estimate debt and equity matching, and keep flexibility in the contract. Do not let proceeds touch a controlled account.

BEFORE ACCEPTING AN INSTALLMENT NOTE

Underwrite the buyer, collateral, senior liens, payment schedule, interest rate, balloon, covenants, remedies, and the tax impact if the note is sold, pledged, or canceled.

PLAN BEFORE LIQUIDITY

Equity tax outcomes are won at acquisition and before a sale becomes binding

QUALIFIED SMALL BUSINESS STOCK

Verify every issuer and holder fact

For qualifying stock issued after July 4, 2025, the 2025 law added tiered federal exclusions: 50% after three years, 75% after four years, and 100% after five years. It also raised the per-issuer cap to $15 million or 10 times basis and the issuer gross-asset ceiling to $75 million, subject to statutory details. [21]

- Stock generally must be acquired at original issuance from a domestic C corporation.
- The issuer must satisfy gross-asset and active-business tests while the stock is held.
- Certain service, finance, hospitality, and other businesses are excluded.
- Redemptions, conversions, transfers, exercises, and entity ownership can change eligibility.

> **California trap:** California does not conform to the federal Section 1202 exclusion, so the full gain generally remains taxable by California. [15]

CONCENTRATED PUBLIC STOCK

Separate diversification from deduction planning

Charitable gift: transfer appreciated shares to a public charity or DAF before a binding sale. The donor may deduct fair market value subject to limits and avoids recognizing the embedded gain on the donated shares. [16]

Exchange fund: contribute eligible concentrated stock to a diversified partnership portfolio. This can defer gain while reducing single-stock exposure, but investors usually face lockups, fees, portfolio constraints, basis carryover, and no current charitable deduction.

Direct indexing: build a diversified separately managed portfolio that harvests losses to offset gains from staged sales. It creates an ongoing loss budget, not a guarantee that enough losses will exist.

QSBS diligence file

ISSUER EVIDENCE	HOLDER EVIDENCE	TRANSACTION EVIDENCE
Charter, capitalization, tax status, gross assets immediately before/after issuance, business activity, redemption history	Subscription/exercise records, stock ledger, basis, acquisition date, holding entity, gifts or transfers, prior Section 1045 rollovers	Term sheets, lockups, tender offers, merger steps, sale timeline, charitable transfer date, appraisal if required

> **Employer-stock boundary:** Do not assume any public-company shares, options, restricted stock units, or post-IPO purchases qualify for QSBS. Eligibility depends on the issuer's status and assets when the original shares were issued and on the holder's acquisition chain. Obtain an issuer-level QSBS analysis rather than infer eligibility from company age.

Timing principle

A charitable assignment after a sale is practically certain can trigger assignment-of-income treatment. A hedge entered too early can end a holding period or create a constructive sale. A gift of options or unvested equity may not work like a gift of owned shares. Build the legal and tax timeline before contacting a broker.

GIVE BETTER, NOT MERELY MORE

Charitable structures pay only when the philanthropy is real

Tax optimization should change the asset, vehicle, and year of a gift the household already intends to make. It should not manufacture a donation whose economic cost exceeds the mission value.

DAF: the practical default

Donate long-term appreciated property before sale, claim a deduction generally based on fair market value subject to adjusted-gross-income (AGI) limits and substantiation, and recommend grants over time. A DAF separates the deduction year from the grant year. [16]

- Long-term capital-gain property to public-charity-type organizations is commonly subject to a 30%-of-AGI limit.
- Unused deductions generally carry forward for five years, but the 2026 floor and ordering rules need modeling.
- Publicly traded stock is operationally easiest; private stock, restricted shares, or pre-liquidity gifts require more lead time and valuation.

CRT: income stream plus charity

A charitable remainder trust (CRT) can sell contributed appreciated property without immediate trust-level capital-gain recognition, invest diversified proceeds, and pay a donor or other beneficiary under statutory rules. Distributions carry out taxable income under a tier system; the donor receives a partial charitable deduction. [17]

- Best for genuinely charitable intent, a valuable low-basis asset, and a desired multiyear payout.
- Irrevocable; charity owns the remainder.
- Requires actuarial modeling, trustee administration, tax filings, investment policy, and transaction sequencing.

> **2026 listed-transaction warning:** Treasury and the IRS issued final regulations identifying certain charitable remainder annuity trust arrangements involving single-premium immediate annuities as listed transactions. Avoid promoter-designed CRAT-annuity structures that claim basis inflation or tax-free extraction; disclosure and penalty exposure can be severe. [18]

2026 makes bunching more valuable

CHANGE	PLANNING RESPONSE
0.5% AGI floor for itemized charitable deductions	Concentrate several years of giving into one DAF contribution when the deduction can clear the floor and pair with a high-income or gain year.
Top-bracket itemized-deduction value limitation	Model marginal benefit rather than multiplying the deduction by the headline 37% rate.
$2,000 MFJ non-itemizer cash deduction	Useful when not itemizing, but it does not apply to DAF gifts and does not replace appreciated-asset planning. [19]

Execution checklist for a private-company or restricted-asset gift

1. Confirm the charity or DAF sponsor will accept the asset and complete compliance review.
2. Review transfer restrictions, board consent, right of first refusal, debt, unrelated business taxable income, and excess-business-holdings exposure.
3. Complete the transfer before a binding sale; obtain a qualified appraisal when required.
4. Collect acknowledgment, Form 8283 signatures, basis records, and evidence of the donee's ownership.

QUIET, REPEATABLE SAVINGS

California-aware asset placement can beat a complex one-time shelter

TAX-LOSS HARVESTING

Build a household-wide wash-sale perimeter

Realized capital losses first offset capital gains, then up to $3,000 of ordinary income annually, with unused losses carried forward. [22]

- Harvest throughout the year, not only in December.
- Replace exposure with a non-identical security to stay invested.
- Monitor purchases 30 days before and 30 days after the sale across taxable accounts, individual retirement accounts, spouse accounts, dividend reinvestment, and employee plans.
- Do not let a small tax loss disrupt a sound portfolio or create uncompensated tracking risk.

CALIFORNIA FIXED-INCOME PLACEMENT

Compare after-tax yield, not labels

Interest on U.S. Treasury bills, notes, and bonds is taxable federally but exempt from California income tax. California municipal interest is generally exempt federally and in California, while out-of-state municipal interest is generally added back for California. [3]

- Compare Treasury, California municipal, out-of-state municipal, and money-market yields after federal tax, 3.8% net investment income tax where applicable, and California tax.
- Check a Treasury fund's state-exempt percentage and California's fund-level rules rather than assuming the full distribution is exempt.
- Use tax-deferred accounts for less tax-efficient income when the investment policy allows.

Illustrative after-tax comparison framework

HOLDING	FEDERAL TREATMENT	CALIFORNIA TREATMENT	DECISION INPUT
U.S. Treasury obligation	Taxable interest	Exempt	Yield, duration, federal marginal rate, NIIT
California municipal bond	Usually exempt	Usually exempt	Credit, call risk, maturity, alternative minimum tax status
Out-of-state municipal bond	Usually exempt	Generally taxable	Spread over comparable California muni after state tax
Bank deposit / money fund	Taxable interest or dividend	Generally taxable, subject to underlying-asset rules	Liquidity, insurance, fund composition, tax reporting

> **Use actual marginal rates:** The relevant rate depends on the character and timing of the next dollar of income, available deductions, the SALT phase-down, alternative minimum tax, and capital-gain brackets. A single blended tax rate can mis-rank investments.

Advanced loss-budget uses

Harvested losses can support a staged concentrated-stock sale, rebalance a portfolio, absorb taxable boot from an exchange, or create room for a business or real-estate sale. Coordinate with charitable gifts: donate the highest-gain lots and sell the loss lots, rather than donating loss property.

Source: IRS Pub. 550 and California Schedule CA guidance

USEFUL WHEN ATTACHED TO A REAL EVENT

Small edge plays work only when the business or life event is genuine

IDEA	LEGITIMATE USE	FAILURE MODE
Augusta Rule - IRC 280A(g)	Rent a residence for 14 or fewer days during the year; qualifying rental income is excluded and rental expenses are not deducted. A separate business may deduct reasonable rent for a bona fide meeting.	Inflated daily rent, no business purpose, no minutes or attendee record, personal entertainment, or more than 14 rental days. Related-party documentation and entity form matter.
Cash-out refinance	Borrowing proceeds are generally not income because they create an obligation to repay. It can unlock equity without a sale.	Interest deductibility follows use of proceeds, tracing, and other limits - not the collateral. More leverage raises cash-flow and default risk; debt is not gain exclusion.
Section 121 home-sale exclusion	Exclude up to $500,000 of gain for eligible MFJ taxpayers who meet ownership/use tests, generally two of the prior five years.	Depreciation after May 6, 1997 is not excludable; nonqualified use, partial-rental allocation, or repeated flips can limit benefit.
Accountable plan	A real employer reimburses substantiated business expenses with timely return of excess advances, shifting payment from taxable compensation to reimbursement.	Shareholder or spouse personal expenses, weak substantiation, flat allowances, or no business connection.
Nonqualified deferred compensation	Employer plan defers compensation under Section 409A with elections generally made before the service year and fixed payment events.	Not a unilateral year-end election; unsecured employer-credit risk, state sourcing, acceleration penalties, and plan-document defects.
Historic rehabilitation credit	Qualifying rehabilitation of a certified historic structure can generate a federal credit generally claimed over five years, with detailed preservation and basis rules.	Project does not qualify, credit recapture, syndication complexity, local restrictions, and poor economics masked by tax credits.

MOST PRACTICAL

Repair and maintenance elections

For a growing rental portfolio, annual tangible-property elections, routine-maintenance analysis, and partial-disposition review can produce recurring value with lower product risk than a marketed shelter. [9]

MOST OVERLOOKED

Asset-use tracing

Track borrowed funds directly from draw to expenditure. Proper tracing can preserve business or investment interest treatment; a home-secured loan used personally does not become deductible business interest.

Do not manufacture facts: A family meeting is not automatically a corporate event, a primary residence is not automatically inventory, and a related-party rent invoice is not proof of market value. Substance, minutes, payment, and consistent books must agree.

Benefits that should be checked before exotic structures

Maximize available 401(k), HSA, dependent-care flexible spending account, employee stock plan, and qualified transportation benefits; review tax withholding and estimated payments; and confirm whether the employer offers after-tax 401(k) contributions with Roth conversion. These may not be obscure, but they usually have better risk-adjusted value than a new entity or promoter product.

FROM STRATEGY TO EVIDENCE

The remaining 2026 calendar should lock facts before December 31

- **Next 10 days - Build the model.** Ask the CPA for a federal/California projection with W-2, equity compensation, gains, K-1s, charitable carryforwards, passive losses, capital losses, basis, at-risk amounts, and Form 461 capacity.
- **Before property commitment - Underwrite twice.** Run no-tax and tax-adjusted cash flows. Confirm local STR eligibility, lender/insurance permission, average-stay strategy, operating roles, and a placed-in-service path.
- **At STR launch - Start evidence on day one.** Activate booking and use ledgers, owner-use controls, same-day time logs, vendor-hour tracking, and a digital placed-in-service binder.
- **Before any appreciated-asset sale - Freeze the sequence.** Review QSBS, charitable gifts, exchange funds, options, installment treatment, 1031, and QOF only before a binding transaction.
- **By early December - Close operational gaps.** Complete eligible benefit elections, charitable transfers, tax-loss harvesting, required appraisals, cost-seg fieldwork, and property readiness. Recheck wash sales and owner-use days.
- **By Dec. 31 - Finish acts, not intentions.** Property must be placed in service; gifts must be delivered; losses must be realized; plan contributions/elections must satisfy their actual deadlines; QOF and sale steps must be timely.

CPA and counsel agenda

- Can the modeled STR loss offset W-2 after passive, basis, at-risk, and Form 461 limits?
- Which material-participation test has the strongest evidence?
- Should rental activities be grouped for 2027 REP purposes?
- What federal and California depreciation schedules and recapture result from cost segregation?
- Is any existing entity eligible for the California PTE election?
- Do any existing shares have issuer-level QSBS support?
- Which gains are expected, and are any transactions already practically certain?
- How much appreciated property can be donated and used after the 2026 AGI floor?
- What capital-loss and passive-loss carryforwards exist?
- Which recommendations require a tax opinion, appraisal, or amended legal document?

Recommended priority order: (1) projection and benefit cleanup, (2) economically viable STR with Mandy-led participation, (3) 2027 REP operating system, (4) PTE election for existing eligible income, (5) pre-liquidity equity and charitable planning, and only then (6) high-risk alternatives such as oil-and-gas working interests.

PRIMARY AUTHORITIES FIRST

The source record makes the plan auditable

1. IRS - 2026 retirement-plan and IRA limits. Employee deferral, catch-up, and IRA amounts.
2. EY Tax News - IRS releases 2026 HSA limits. Summary of Rev. Proc. 2025-19.
3. California FTB - Schedule CA instructions. California treatment of Treasury interest, out-of-state municipal interest, and HSA earnings.
4. IRS - corrected 2026 SALT deduction limits. $40,400 cap and $505,000 MAGI phase-down threshold for joint filers.
5. California FTB - depreciation and amortization adjustments. Federal-state depreciation differences, including Section 168(k).
6. Nisivoccia - 2026 tax law changes. Indexed excess-business-loss thresholds and recent-law summary; confirm against 2026 filing instructions.
7. IRS Publication 925 - Passive Activity and At-Risk Rules. STR exceptions, material participation, REP rules, and oil-and-gas working interests.
8. IRS - Cost Segregation Audit Techniques Guide. Classification, methodology, and documentation framework.
9. IRS - Tangible Property Regulations. Repair, maintenance, de minimis, and small-taxpayer safe harbors.
10. California FTB - Pass-through entity elective tax. Election, prepayment, rate, eligibility, and credit mechanics.
11. IRS - Natural resource income. Depletion overview and reporting context.
12. IRS - Like-kind exchanges. Qualifying real property and nonrecognition framework.
13. IRS Publication 537 - Installment Sales. Gross-profit method, interest, and exceptions.
14. IRS - Invest in a Qualified Opportunity Fund. 180-day period, Dec. 31, 2026 inclusion, reporting, and 10-year rule.
15. California FTB Publication 1001. California nonconformity to federal Sections 1045 and 1202.

Research posture: IRS and FTB materials control the core classifications in this report. Secondary sources are used for recently enacted amounts or explanatory context where agency publications are not yet consolidated. Statutes, regulations, current forms, and the taxpayer's exact facts should be checked before implementation.

SOURCE RECORD CONTINUED

Additional sources and implementation limits

16. IRS Publication 526 - Charitable Contributions. Property gifts, AGI limits, carryforwards, and substantiation.
17. IRS - Charitable Remainder Trusts. Structure, distributions, filing, and qualification.
18. IRS - 2026 final regulations on certain CRAT transactions. Listed-transaction designation.
19. Kitces - 2026 charitable changes under OBBBA. 0.5% AGI floor and itemized-deduction limitation analysis.
20. Merline & Meacham - Repairs, improvements, and current depreciation law. 2026 Section 179 amounts and bonus-depreciation context.
21. Millan - Section 1202 QSBS guide. Post-July 4, 2025 tiered exclusion, cap, and gross-asset changes; verify issuer facts independently.
22. IRS Publication 550 - Investment Income and Expenses. Wash sales, capital gains/losses, and investment reporting.
23. IRS Publication 946 - How To Depreciate Property. Recovery classes, basis, placed-in-service rules, and recapture references.
24. IRS - Sales, trades, and exchanges FAQ. Constructive receipt, qualified intermediaries, and carryover basis in 1031 exchanges.
25. IRS Topic 425 - Passive activities. Passive loss, material participation, and disposition overview.

What this report does not assume

No assumptions were made about age, tax bracket, exact salary, stock grants, basis, vesting, gain amount, existing entities, carryforwards, property purchase price, financing, occupancy, personal-use days, or charitable budget. Any quantified recommendation requires those inputs.

Implementation standard

Before acting, obtain coordinated advice from a CPA or enrolled agent, transaction counsel, and where relevant a valuation, cost-segregation, securities, insurance, or engineering specialist. Ask each adviser to identify the reporting form, election, deadline, authority, evidence file, and California adjustment for the proposed position.

> **Important disclaimer:** This report is general educational information, not legal, tax, investment, accounting, insurance, or valuation advice. Tax outcomes depend on complete facts and may change through legislation, regulations, administrative guidance, or court decisions. No strategy should be implemented solely from this report.

Bottom line

The household's most credible edge is not an exotic product. It is Mandy's real operational capacity paired with disciplined transaction timing and California-aware recordkeeping. Those facts can support STR treatment in 2026, a durable REP platform in 2027, and better choices before future liquidity events.